



『UNICO ENERGY GROUP CO., LTD. SUSTAINABILITY REPORT』 2026. 08

UNICO ENERGY GROUP

The constraints (limitations, disclaimer) applicable to the performance of this engagement, and matters to note when using this report, are summarized as follows

ABOUT THIS REPORT

About This Report

UNICO ENERGY GROUP Co., Ltd. (hereinafter "UNICO ENERGY GROUP") publishes its first Sustainability Report to disclose its sustainability management efforts and performance to stakeholders. Starting with the "2026 UNICO ENERGY GROUP Sustainability Report," the company plans to publish a sustainability report annually as a regular practice. This report provides a balanced account of the company's financial and non-financial performance from both an internal management perspective and an environmental and social perspective.

Reporting Period

The reporting period of this report is from July 1, 2026 to December 31, 2027. It includes material information that may affect stakeholder decision-making, covering some performance and activities from the first and second half of 2026. To help with year-over-year trend analysis, quantitative performance indicators are provided for two years, from 2024 to the first half of 2026.

Report Assurance

To ensure the reliability and fairness of the content, this report received third-party assurance from Business Sustainability Future (BSF), an independent assurance body, applying the AA1000AS Type 1 standard. Details of the assurance opinion are included on page 70 of the report.

Reporting Boundary and Scope

This report is prepared centered on the management activities of UNICO ENERGY GROUP's headquarters, and as part of its sustainability management efforts, also includes the ESG management status of UNICO ENERGY GROUP's Guji plant. Financial performance was prepared as separate (non-consolidated) financial statements in accordance with K-IFRS. Some performance figures prepared on a consolidated basis are separately noted.

Reporting Standards and Principles

This report meets the 'in accordance with' level of the GRI (Global Reporting Initiative) Standards 2025, the international sustainability management reporting standard, and discloses indicator-level performance in accordance with the disclosure requirements of the Sustainability Accounting Standards Board (SASB)'s international oil and metals industry standards. In addition, the European Corporate Sustainability Reporting Directive (CSRD)

proposes a double materiality concept, which was applied in conducting the materiality assessment, and the report was structured with reference to the framework recommended by the Task Force on Climate-related Financial Disclosures (TCFD). The report also reflects the UN Sustainable Development Goals (UN SDGs) and the UN Global Compact (UNGC)'s 10 principles as basic guidelines, faithfully embodying the direction and value of sustainability management throughout.

Report Inquiries

If you need additional information about this report or have any questions, please contact us using the information below.

| Publisher: UNICO ENERGY GROUP Co., Ltd.

| Address (HQ): 511 Yeongdong-daero, Gangnam-gu, Seoul (Samseong-dong, World Trade Center)

| Address (Gimje Plant): 64 Seoheunggongdan 1-gil, Gimje-si, Jeollabuk-do (Heungsa-dong)

| Publication Date: June 2026

Cover Story

The 2026 sustainability report cover design was created around UNICO ENERGY GROUP's core businesses of crude oil and aluminum. Through a circular structure expanding from the center outward, it visually expresses UNICO ENERGY GROUP's vision of continuously expanding toward a sustainable future.

| Department in Charge: ESG/Safety/
Environment Team

| Website: <https://unicoenergy.com/>

| Phone:

Evaluator: Nexia Samduk

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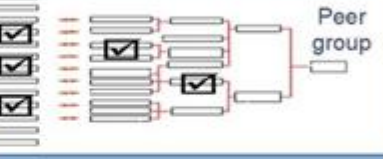
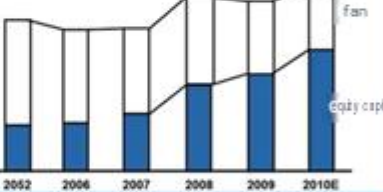
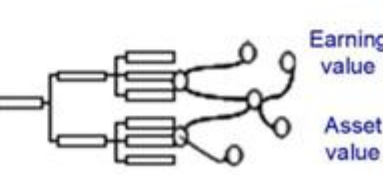
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Valuation Approach

Valuation

Reference

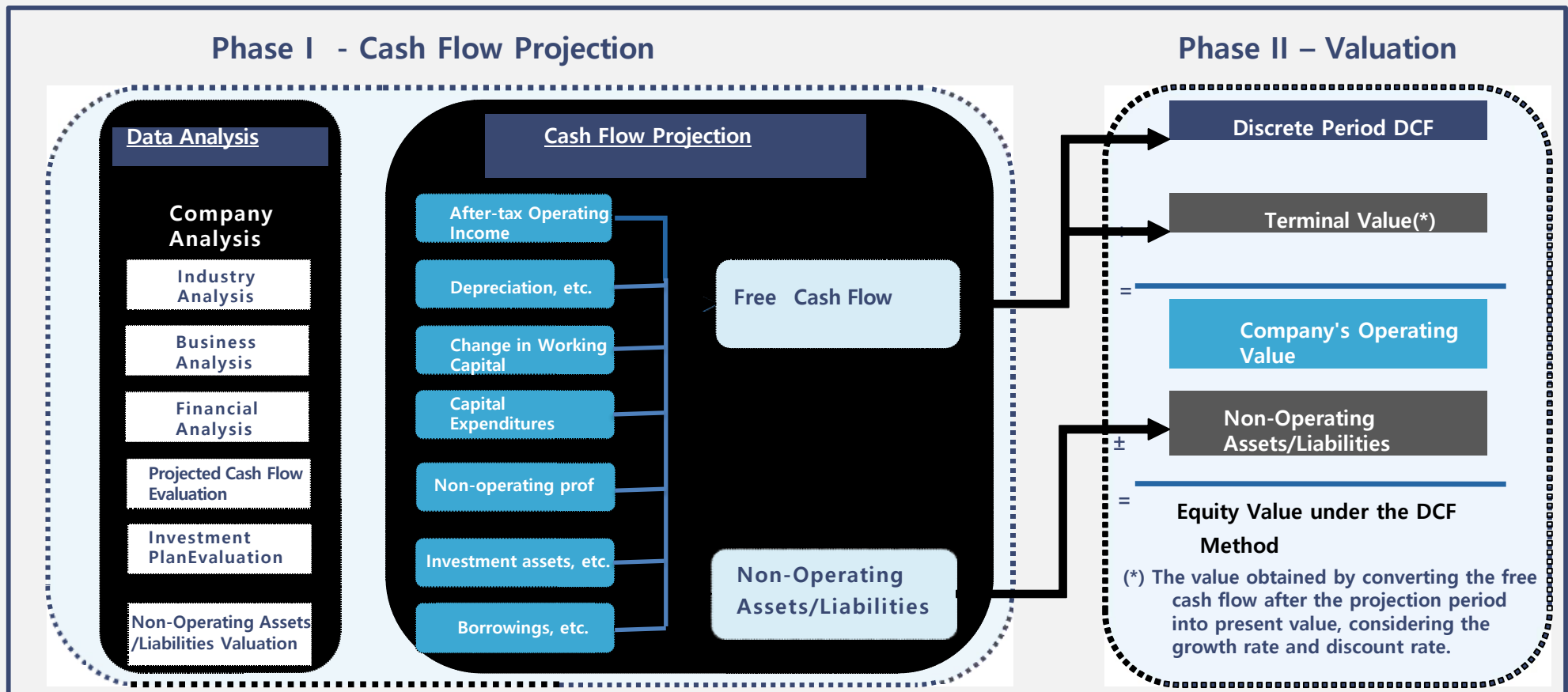
Methods for valuing unlisted shares include the net asset, market, and income approaches, and an appropriate method must be selected and applied considering the target company's circumstances and characteristics. For the target company, the Discounted Cash Flow (DCF) method, which has a clear theoretical basis among income approaches, was applied.

Discounted Cash Flow (DCF)		- This is a method of evaluating a company's intrinsic value (Firm Value) by calculating the sum of the Net Present Values of the Free Cash Flows (FCF) expected to be generated in the future, discounted at a discount rate that reflects the risk level associated with those cash flows. - This is a representative method of the income approach, which is currently widely used by most unlisted companies or, even for listed companies, to seek intrinsic value complementarily to market value.
relative value method (Market approach)		- A method of calculating value by selecting a listed company with a business environment and financial structure similar to the target company and comparing the price level relative to sales, net assets, net profit, or EBITDA of the selected listed company with that of the target company, which can be classified into PER Multiple, PBR Multiple, EV/EBITDA Multiple, etc. - The most critical factor in the method is the selection of the comparison company.
Net Asset Value Method (BPS)		- BPS is calculated by dividing net assets (assets minus liabilities) by the number of issued shares, and a BPS of 1,000 won means that if all assets are disposed of upon liquidation of the company, 1,000 won will be distributed per share. - A high BPS means that the proportion of equity is large and the actual investment value is high, and the higher the BPS, the higher the solidity of the company's fundamentals can be seen.
Valuation methods under the Inheritance and Gift Tax Act		- As a valuation method for unlisted stocks set forth in the Enforcement Decree of the Inheritance and Gift Tax Act, the enterprise value is calculated as the weighted average of the asset value and the earnings value. - The value is assessed by weighing the net profit/loss value and net asset value per share in a ratio of 3 to 2, respectively, except for corporations with excessive real estate holdings where the value of real estate and rights related to real estate accounts for 50% or more of the total asset value, which are assessed by weighing the net profit/loss value and net asset value in a ratio of 2 to 3.

DCF Valuation Method

Valuation

The DCF method calculates the operating value of the target company as the present value of the free cash flow the company is expected to generate in the future, discounted at a rate reflecting the risk level inherent in that cash flow.



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— Executive Summary —

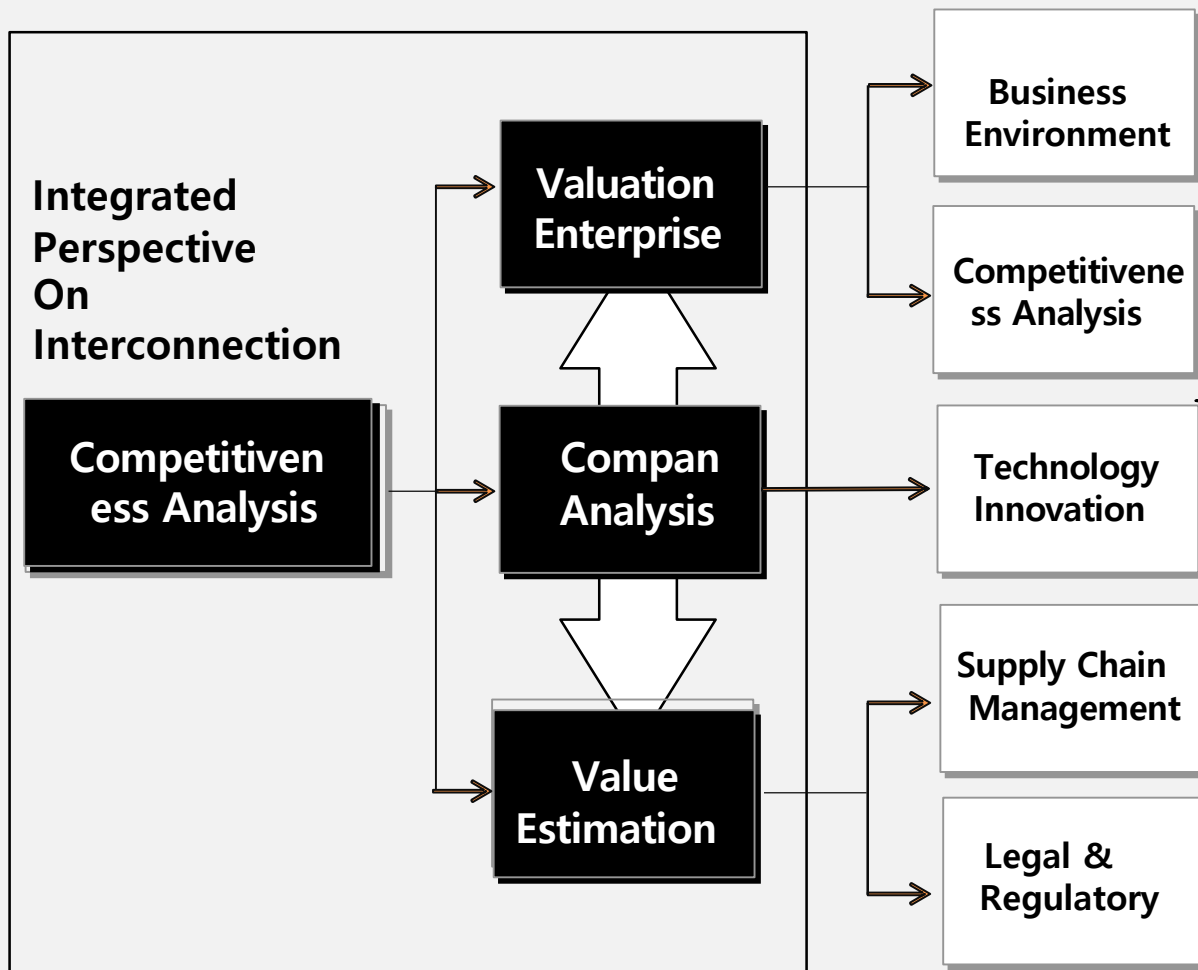
- I.1 Direction of the Engagement
- I.2 Notes
- I.3 Definitions
- I.4 Share Valuation Results
- I.5 Discount Rate (WACC) Estimation

U N I C O E N E R G Y G R O U P

I-1. Direction of the Engagement

Based on the business plan and key assumptions provided by your company as of the valuation date, our firm's valuation results indicate that the target company's total equity value is estimated at KRW 270.7bn, KRW 469.5bn, and KRW 138.6bn.

핵심 분석 관점



Share Valuation

Objective

• For a New Beginning

Global Energy & Commodity Trading Platform

- UNICO ENERGY GROUP has grown by building global partnerships and skilled professionals as its core assets, based on trust.
- We proactively respond to changes in the global energy and raw materials markets, and continuously innovate to deliver the best value and competitiveness to our customers.
- We will continue to build a global supply chain and pursue sustainable growth strategies to become Korea's leading energy and raw materials specialist company.

• Energy for a Cleaner Future

- We currently operate a partner network across multiple countries, centered on Asia, to supply and sell raw materials.
- Key Areas of Cooperation
 - International Trading
 - Finance & Investment
 - Logistics & Transportation
 - Storage Facility Operations
 - Industrial Raw Material Supply



• I-2. Notes

The constraints (limitations, disclaimer) applicable to the performance of this engagement, and matters to note when using this report, are summarized as follows

- ✓ Unless agreed in writing in advance, no additional work, such as legal testimony or statements, may be required of our firm in connection with the contents of this report.
- ✓ Our firm is not an environmental advisor or auditor, and therefore bears no responsibility for any obligations arising or that may arise related to environmental matters. Users of this report who wish to know whether such obligations exist, or the impact of environmental matters on scope or valuation, are advised to obtain independent, professional environmental advice.
- ✓ Our firm did not perform any environmental assessment or provide results thereof, nor did it perform any related procedures with respect to the target company.
- ✓ Our firm did not perform specific inquiries or analyses of the target company to determine whether it is subject to, or in compliance with, laws and regulations governing employee hiring and employment. Accordingly, our valuation results do not consider the impact on value of any violation of such regulations. Furthermore, unless otherwise stated, our firm has not considered or performed any procedures regarding the potential impact of future laws or regulations on the target company.
- ✓ Where management-prepared projected financial information was used in our engagement, our firm was not involved in investigating or preparing such projected information. Accordingly, our firm expresses no assurance, such as an audit opinion, in any form regarding the projected financial information or related assumptions. Events or circumstances may develop differently from expectations; therefore, material differences may generally exist between projected information and actual results, and such differences may be significant.
- ✓ Our firm made inquiries of current management regarding the target company's past, present, and future business outlook.
- ✓ Except as otherwise noted, our firm relied on representations from equity holders, management, and other third parties regarding all facilities, equipment, real estate, investment assets, and other assets or liabilities used in the business (except matters otherwise stated in this report). Our firm did not perform any separate verification procedures as to whether any assets used in the business are subject to liens or usage restrictions, or whether the target company holds title to all its assets.
- ✓ Users of this report should fully and clearly consider the scope and limitations of the work performed by our firm, and our firm bears no responsibility for any loss or damage based on this report.
- ✓ No part of this report may be altered by any party other than our firm, and our firm bears no responsibility for any such unauthorized alteration.
- ✓ The valuation results in this report are valid only as of the valuation date and only for the stated purpose.
- ✓ In performing the valuation engagement, our firm accepted, as provided, the financial statements and other financial information received without separately assessing whether they fully and accurately reflect the target company's financial position and operating results. Our firm did not perform any audit, review, or compilation engagement with respect to such information, and therefore expresses no assurance, such as an audit opinion, in any form regarding this information.

• I.2 Notes

The constraints (limitations, disclaimer) applicable to the performance of this engagement, and matters to note when using this report, are summarized as follows

- ✓ Our firm and its staff have obtained information from the client to the best of our knowledge and belief, but we do not warrant the accuracy or completeness of the information and the firm may not be able to detect all errors or omissions.
- ✓ Our firm's valuation is based on the information provided by the target company and other sources. We do not warrant the accuracy or completeness of the information provided by the target company or the reliability of the information provided by other sources. Our firm's valuation is based on the assumption that the current level of management's expertise and effectiveness will be maintained, and that the nature of the target company will not change materially or significantly due to business divestiture, restructuring, exchange, or shareholder capital reduction, among other factors.
- ✓ This report and its valuation results are prepared solely for the specific purpose stated in this report and for your company. Accordingly, it may not be used for any third party's specific purpose or for any purpose other than that stated in this report. Furthermore, this report and its valuation results are not prepared for, and should not be construed as, investment advice or any similar purpose in any form. The valuation results represent only the opinion of the evaluator, based on information provided by the target company and other sources.
- ✓ If this report is to be provided to any third party, our firm's prior written consent must be obtained. Regardless of whether such prior written consent is obtained, our firm bears no responsibility whatsoever to any third party who obtains this report.
- ✓ This report and its valuation results should not be used as a basis for investment decisions, and our firm bears no responsibility for any financial or non-financial loss arising from investment decisions based on this report.
- ✓ No part of this report, including the valuation results or any reference to our firm's name or role, may be disseminated to the public through advertising media, investment promotion, press media, mail, direct distribution, or other communication means without our firm's prior written consent.

Samduk Accounting Corporation

CEO, Certified Public Accountant Kim Deok-su

• I-2. Notes • Merger Between a Listed Company and an Unlisted Company

Considerations for the merger procedure between a listed and unlisted company are as follows

- ✓ When a listed company merges with an unlisted company, a share-exchange method is a common option.
- ✓ In the share-exchange method, the listed company exchanges its own shares with the shareholders of the unlisted company to absorb the unlisted company through merger: unlisted shareholders become shareholders of the listed company, gaining the benefit of holding highly liquid, listed shares.
- ✓ Whether the share-exchange method is advantageous depends on various factors such as the merging companies' objectives, post-merger vision, financial condition, and shareholder interests. Therefore, it is important to analyze the specific situation and make the optimal decision through expert consultation.

Merger Procedure

- ✓ Preparation of Merger Plan: First, the boards of directors of both companies prepare a merger plan. This plan includes the purpose of the merger, the post-merger corporate structure, the share exchange ratio, and the merger schedule.
- ✓ Shareholder Meeting Approval: The merger plan must be approved at the shareholder meetings of both companies. Approval is required from both the listed and unlisted company's shareholder meetings, and it is especially important to fully gather shareholder opinions at the listed company given the significant interests of shareholders arising from share price fluctuations related to the merger.
- ✓ Merger Filing and Registration: After shareholder meeting approval, the merger is filed with the court and registered commercially. This process gives the merger legal effect.
- ✓ Share Exchange: Once the merger is completed, listed company shares are exchanged for unlisted shareholders. The exchange ratio proceeds as predetermined in the merger plan.
- ✓ Other Procedures: Various financial statement clean-up, organizational integration, and system integration tasks related to the merger are carried out.

• I-3. Definitions - The definitions of terms applied in this valuation are as follows (General terms and abbreviations used in the report)

☐ Key General Terms & Abbreviations

Term	Definition
A	Actual
Adj.	Adjust
App.	Appendix
CAGR	Compounded Actual Growth Rate
CAPA	Capacity
CAPEX	Capital Expenditure
CAPM	Capital Asset Pricing Model
CPI	Consumer Price Index
DAP	Depreciation Amortization Provision
DCF	Discounted Cash Flow
DEP	Depreciation
D/E	Debt to Equity
EBIT	Earnings Before Interest and Taxes
EBITDA	Earnings Before Interest, Taxes, Depreciation and Amortization
F	Forecast
FY	Financial Year
FV	Future Value
FCFF	Free Cash Flow to Firm
IC	Invested Capital (for business operation)
IRR	Internal Rate of Return
K-IFRS	Korea International Financial Reporting Standards
MRP	Market Risk Premium
M/S	Market Share
NWC	Net Working Capital
NOPLAT	Net Operating Profit Less Adjusted Taxes
NPV	Net Present Value
PV	Present Value
Rf	Risk free Rate
USD	United States Dollar
WACC	Weighted Average Cost of Capital
YOY	Year on Year

☐ Engagement-Specific Abbreviations

Term	Definition
ASP	Average Sales Price
CF	Cash Flow
CRP	Country Risk Premium
EIU	Economist Intelligence Unit
EV	Enterprise Value
FP	Financial Position
OPEX	Operating Expenditure
PL	Profit & Loss
ROIC	Return On Invested Capital



I-4. Share Valuation Results

Based on the business plan and key assumptions provided by your company as of the valuation date, our firm's valuation results indicate that the target company's total equity value is estimated at KRW 270.7bn, KRW 469.5bn, and KRW 138.6bn.

■ DCF Valuation

(Unit: KRW bn)

Scenario 1+2 (Existing Business, Oil Business)			
Equity Value		Stock Price	
NPV of Discrete Cash Flows	78,848,087,193	Equity Value	676,800,000,000
NPV of Terminal Value	191,878,204,033	# Total number of shares issued	15,000,000
(+) NOA (Non-Operating Assets)	2,499,613	Equity value per share	KRW 45,120
Enterprise Value	270,728,790,839		
(-) Interest Bearing Debt	6,502,956		
Equity Value	676,800,000,000		
Scenario 1+3 (Existing Business, Aluminum & Non-Ferrous Metals Business)			
Equity Value		Stock Price	
NPV of Discrete Cash Flows	180,082,663,248	Equity Value	1,173,885,000,000
NPV of Terminal Value	289,472,502,953	# of shares	15,000,000
(+) NOA (Non-Operating Assets)	2,499,613	Equity value per share	KRW 78,259
Enterprise Value	469,557,665,814		
(-) Interest Bearing Debt	6,502,956		
Equity Value	1,173,885,000,000		
Scenario 1+4 (Existing Business, Real Estate Development)			
Equity Value		Stock Price	
NPV of Discrete Cash Flows	59,201,658,126	Equity Value	346,515,000,000
NPV of Terminal Value	79,409,956,820	# of shares	15,000,000
(+) NOA (Non-Operating Assets)	2,499,613	Equity value per share	KRW 23,101
Enterprise Value	138,614,114,559		
(-) Interest Bearing Debt	6,502,956		
Equity Value	346,515,000,000		

• I-5. Discount Rate (WACC) Estimation

The discount rate was estimated using CAPM as follows, and applied as the WACC for each scenario

business	WACC by business	scenario	WACC by scenario
Existing Business	20.03%	Scenario 1+2	12.13%
Oil Business	10.14%	Scenario 1+3	16.56%
Aluminum	14.22%	Scenario 1+4	19.46%
Non-Ferrous Metals	26.78%		
Screen Golf	10.71%		

(Unit: KRW)

scenario		division	PV	2024	2025	2026	2027	2028
1	Existing business (shoe distribution)	import fee		30,365,849,934	43,635,704,491	55,474,631,637	68,322,639,033	63,945,674,534
		Management fee		72,022,312	75,277,637	74,025,539	72,973,974	72,932,041
		Service sales		3,000,000,000	-	-	-	-
		Productbrokerage fee		6,500,000,000	19,500,000,000	19,500,000,000	19,500,000,000	19,500,000,000
		maintenance income		-	240,000,000	240,000,000	240,000,000	240,000,000
		sales	148,966,260,860	33,437,872,245	43,710,982,128	55,548,657,176	68,395,613,007	64,018,606,575
		Discount rate (WACC%)		20.03%				
		Period (Year)			1.00	2.00	3.00	4.00
2	oil business	Present Value Factor			0.8331	0.6941	0.5783	0.4818
		sales	349,626,112,649	92,950,000,000	321,750,000,000			
		Discount rate (WACC%)		10.14%				
		Period (Year)			1.00	2.00	3.00	4.00
3	aluminum	Present Value Factor			0.9079	0.8243	0.7485	0.6795
	aluminum	sales	623,066,245,060	-	165,032,190,000	215,003,937,132	280,107,129,296	364,923,568,046
		Discount rate (WACC%)		14.22%				
		Period (Year)			1.00	2.00	3.00	4.00
	Nonferrous metals	Present Value Factor			0.8755	0.7665	0.6711	0.5875
	Nonferrous metals	sales	112,898,327,971	-	50,368,500,000	60,442,200,000	70,515,900,000	80,589,600,000
		Discount rate (WACC%)		26.78%				
		Period (Year)			1.00	2.00	3.00	4.00
4	screen golf	Present Value Factor			0.7888	0.6222	0.4907	0.3871
	screen golf	sales	5,427,062,724	324,000,000	1,944,000,000	1,944,000,000	1,944,000,000	1,944,000,000
	screen golf	Discount rate (WACC%)		10.71%				
	screen golf	Period (Year)			1.00	2.00	3.00	4.00
		Present Value Factor			0.9033	0.8159	0.7370	0.6657

Company Overview

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II

ALUMINUM INGOT & OIL

Global Energy Trading · Petroleum Product Import/Export · Non-Ferrous Metals Intermediary Trade

- 2.1 Company Overview
- 2.2 Core Business Analysis
- 2.2 Key Partner Companies

U N I C O E N E R G Y G R O U P

• II-1. Company Overview

A global company strengthening industry competitiveness and building a sustainable future through the stable supply of energy and raw materials

UNICO ENERGY GROUP Co., Ltd.

- UNICO ENERGY GROUP is a specialized trading company that builds a global supply chain for energy and raw materials by connecting Europe and Middle East countries' abundant financial capacity, Southeast Asia's global logistics hub competitiveness, and Korea's strong industrial demand.
- Building on its long-accumulated capabilities in oil and gas trading, the company has expanded into the rapidly growing aluminum raw material distribution business as a new core growth pillar.
- Through this, it is evolving into a comprehensive raw materials platform company spanning energy and non-ferrous metals, securing differentiated competitiveness in the global market through a stable supply chain and efficient logistics system.

Core Growth Pillar ① Oil & Gas Trading Business

UNICO ENERGY GROUP has built a stable oil and gas supply system based on its experience and network accumulated in the international energy market.

Key Competitiveness / Price Competitiveness

- Direct global supplier transactions • Minimized distribution stages • Efficient logistics operations • Quality competitiveness

We supply only high-quality energy products that meet international standards.

Key Products: D2 Gasoil 10 PPM • Marine Gas Oil (MGO) • LPG • LNG
• Industrial energy solutions

Key Markets: Independent gas stations • Large industrial consumers • Logistics & transport companies • Agriculture & fisheries sectors • Public institutions & energy-consuming companies



Core Growth Pillar ② Aluminum Domestic & International Distribution

Aluminum is a key strategic resource experiencing surging global demand, driven by the growth of eco-friendly industries, ship weight reduction, and the EV and secondary battery industries.

Global Procurement Competitiveness

- Direct transactions with major overseas smelters and global traders • Stable volume secured via long-term off-take agreements • Minimized price volatility
 - Supply of high-quality aluminum products
- UNICO ENERGY GROUP has built its own distribution platform that directly connects the global supply chain with domestic demand.

Key Products Handled:

- Aluminum Ingot • Aluminum Billet
- Aluminum Slab • Aluminum Coil • Aluminum Plate • Industrial processed materials

• II-1. Company Overview

UNICO ENERGY GROUP Co., Ltd. aims to become Korea's leading energy company, pioneering innovation in Kazakhstan's oil refining and distribution sector

About UNICO ENERGY GROUP

Unico Group will create a future where energy originates from natural resources.

Business Areas

Crude oil, gas, derivatives, and aluminum ingot (A7)
Global trading specialist, import & domestic distribution
Petroleum import/export, non-ferrous metals (copper), IT
retail/wholesale

Founded April 4, 2024

Location 511 Yeongdong-daero, Gangnam-gu, Seoul (Samseong-dong, World Trade Center)

CEO Yoon Seung-young

Capital (USD : 130,837.24)

Partners KRW 200 million

Since 2024 PayGate Co., Ltd. / Sinah Co., Ltd.

- Korea's leading energy trading and supply specialist company
- Headquarters in Samseong-dong, Gangnam-gu, Seoul (World Trade Center), operating bases in 5 Asian countries
- Specialized in global trading of crude oil, gas, and derivatives
- Full responsibility from procurement to final supply
- Oil storage and logistics infrastructure at strategic Middle East and Asia hubs
- Internationally licensed energy company

• Adheres to cutting-edge technology, strict risk management, and sustainability standards



Mission & Vision MISSION AND VISION)

- Mission: To provide services, facilitate trade, and drive prosperity across diversified oil and gas business areas. Vision: To become the top trading platform, growing into a globally recognized trading company. Corporate Core Values: Responsibility, Innovation, Probity



Fast & Excellent Service Delivery PROVIDES AND QUICKER SERVICES

- Our key strength lies in global partnerships and a professional, dedicated workforce that plays a pivotal role in establishing a strong business footprint. Strong Footprint, Global Partnerships, Highly Qualified Staff, Best and Quicker Services



Best Efforts for Our Customers TO THE BEST FOR OUR CONSUMERS

- Strict Risk Management, Cutting Edge Strategies, Sustainability Standards Compliance

• II-2.Core Business Analysis (Oil Business)

UNICO ENERGY GROUP Co., Ltd. aims to become Korea's leading energy company, pioneering innovation in Kazakhstan's oil refining and distribution sector

UNICO ENERGY GROUP established a separate entity called UNICO ENERGY with specialists in each field to enter the domestic refining market. The future import target is 100,000-200,000 tons per month of automotive diesel (10ppm) and marine gas oil (MGO), aiming for an annual turnover of \$XXX.

Exploration and Production

Refining and Processing

Technology and Innovation

Environmental Stewardship

Distribution and Logistics

Community Engagement

Kazakh diesel oil is currently distributed domestically through a few foreign companies in Hong Kong and Singapore, but has faced limits due to the market dominance of existing major players and complex distribution networks. Strict government import clearance procedures and quality standards have also effectively served as non-tariff barriers. However, Kazakh diesel holds overwhelming price competitiveness compared to other products, and is expected to secure over 20% market share in the shortest time upon entering the domestic market.

Moreover, recent shifts in international affairs, such as the US-China trade dispute and strengthened fair trade laws, are reshaping the domestic regulatory environment and creating new business opportunities. Capturing this market trend, KOSDAQ-listed LEED Co., Ltd. established UNICO ENERGY GROUP Co., Ltd.

Composed of refining and trading experts, UNICO ENERGY GROUP Co., Ltd. will become a leader in supplying diesel oil, which is in high domestic demand. In addition, it will supply MGO, gasoline, LPG, and more, offering differentiated value optimized for the domestic market. Furthermore, by appointing the Chairman of the domestic LPG Association as an international cooperation advisor, the company will play a leading role in successfully realizing the government's plan to foster a 'third importer' in a domestic market that has long been monopolized by two major importers.

deal structure



strengths and weaknesses



• II-2. Core Business Analysis (Oil Business)

UNICO ENERGY GROUP Co., Ltd. aims to become Korea's leading energy company, pioneering innovation in Kazakhstan's oil refining and distribution sector

Project Financing (Loan): We secure funding stability by borrowing the remaining USD 160 million (approx. KRW 184 billion) under favorable terms (assuming a 7% interest rate) through an overseas pension fund manager (e.g., Investor B) who is also an equity investor.

UNICO ENERGY GROUP CO., LTD is a specialized energy trading and supply company representing Korea. Our headquarters is located at 511 Yeongdong-daero, Gangnam-gu, Seoul, Korea (Samseong-dong, World Trade Center). As an internationally licensed energy company, we promote national development in the oil and gas trading sector, believing this leads to the advancement of society, the nation, and ultimately the international community. We take great pride in creating mutual benefit and building sustainable relationships and partnerships. UNICO Energy's greatest strength lies in our global partnerships and highly skilled, dedicated professional workforce, on which we build a solid business foundation. We succeed by resolving global supply-demand imbalances and delivering the best service to customers with the utmost speed. We uphold deep responsibility and dedication throughout the entire process, from procurement to final delivery to customers across approximately 5 countries, centered on Asia. UNICO Energy's customers and partners enjoy the greatest benefits based on our proven performance and trust. We build partnerships with host governments, project planners, and local communities to supply products to the market in the most efficient and cost-effective way. UNICO Energy has proven itself a cutting-edge company, strictly adhering to all strategies, risk management, and sustainability standards with consumer interests as our top priority. Our energy and commodity trading operations run across diverse business hubs worldwide, meeting customer needs. As a key participant in the raw materials market, we help efficiently maintain the global balance between oversupplied regions and regions in need. We create customer value through optimal pricing structures and outstanding service, maintaining solid and trustworthy business relationships.

Key execution steps



Valuation Analysis



• II-2. Core Business Analysis (Aluminum)

Technology Built Through Experience, Aluminum Perfected Through Technology



Items Handled: Aluminum Ingot A7

PRODUCT A7

Primary Aluminum Ingot | Purity 99.7%+ | HS Code 7601.20.00

品名	Aluminum Ingot A7 (Primary Aluminum Ingot)
HS Code	7601.20.00
Material code	Al: 99.70%
Chemical composition	Si0.13% / Fe0.20% / Cu0.10% / Gas0.02%
Standard	1,200x600x30 pieces
Origin	South Africa (via UAE, Dubai)
Weight	100 Certified Quality Certified Standard
Notes/Remarks	2024-2025 Production Period (Supply and Demand)

UNICO ENERGY GROUP aims to generate stable profits and strengthen market competitiveness through the import and sale of aluminum ingots (A7). The company plans to grow into a leading company in domestic and international markets based on supply chain development, an efficient logistics system, and a differentiated sales strategy.

UNICO ENERGY GROUP is a specialized distributor of rolled aluminum products, producing high-quality aluminum sheets and coils applicable to diverse industries. Based on extensive manufacturing experience and technology, it supplies customized materials for a wide range of sectors including construction, automotive, electronics/electronics, and industrial materials, focusing on product development that maximizes aluminum's inherent advantages such as light weight, corrosion resistance, and workability.

In particular, based on precision rolling technology using state-of-the-art equipment and a quality management system, the company stably responds to diverse demands from domestic and international customers, and is enhancing the competitiveness of the sustainable materials industry by introducing eco-friendly manufacturing processes. Going forward, UNICO ENERGY GROUP plans to continue expanding high-value-added products and advancing technology based on its expertise in the aluminum sector.



ALUMINUM SMELTING FACILITY - PRIMARY PRODUCTION

SMELTING & PRODUCTION

Aluminum / Raw Material Import/Distribution

Primary Production — Bauxite to Pure Aluminum Ingot

ALBA Bahrain

2025 production

Global 7th SMMT, China's Production Scale, Tight Control

Key Product

01 Aluminum Coil

Aluminum coil produced through hot and cold rolling, used for various applications, with surface treatment and alloy adjustment available

Aluminum Sheet

High-strength aluminum sheet used in structural materials, vehicles, and building exteriors, offering excellent flatness and precision

03 Aluminum Circular Disc

High thermal conductivity and workability circular disc used as raw material for kitchen appliances

• II-2. Core Business Analysis (Aluminum)

UNICO ENERGY GROUP in the Paths You Walk and the Spaces You Inhabit

2026 Short-term Action Plan



Global Aluminum Market Growth Chart

2024~2035 Market Size & Growth Rate Net



Aluminum Bahrain BSC, abbreviated ALBA, is a world-renowned aluminum smelting company located in Bahrain. Founded in 1968, ALBA was the first aluminum smelter in the Middle East, jointly funded by the Bahraini government and international investors including Saudi Arabia, Germany, and Japan.

ALBA produces approximately 15 million tons of aluminum annually, playing a key role in the global aluminum market. Its main products include high-purity aluminum, aluminum alloys, and aluminum sheets used across various industries such as automotive, aerospace, construction, and packaging.

ALBA is also committed to environmental protection and sustainable development, carrying out various projects to improve energy efficiency and reduce carbon emissions. It also makes a significant contribution to the Bahraini economy and employs thousands of workers.

ALBA is further expanding its production capacity through the expansion project of Bahrain's fourth aluminum smelter (Line 4), which is expected to contribute to the company's growth and strengthen its competitiveness in the global market.

Domestic Distribution Network

Key Suppliers

- Shipbuilding & offshore plant industry • Building materials manufacturers • Auto parts manufacturers
- Secondary battery materials companies • Industrial materials producers

Logistics Competitiveness

We operate an efficient supply chain by linking the Singapore hub with major domestic ports.

Key Locations

- Singapore logistics hub
- Pyeongtaek Port
- Ulsan Port

Based on this, we have established a Just-In-Time (JIT) supply system to maximize production stability for our clients.

• II-3. Key Partner Companies

The target company's key partner companies are as follows

Domestic Credit Cards, Overseas Credit Cards, Real-time Bank Transfer, Virtual Accounts

Key Partner Companies

Hyundai Material Inc.

As a subsidiary of Hyundai Motor Group, it is a company focused on the development and supply of automotive-related materials. Its main business areas include metal material processing: steel sheets, nonferrous metals (aluminum). Production and processing of materials (such as copper) for automotive parts: Hyundai KIA. Engine parts and car body.

Samah Aluminum Co., Ltd. SAMA Samah Aluminum Co., Ltd.

As a listed company specializing in aluminum alloys and materials, we supply aluminum materials to various industrial sectors, including automotive, construction, and electrical and electronics. Paygate Co., Ltd. is strengthening its market competitiveness and pursuing business expansion through cooperation with Samah Aluminum Co., Ltd.

Seoul Light Metal Co., Ltd. DAENO AL

As a major domestic listed aluminum processing company, we produce a variety of products utilizing aluminum materials. We aim to secure stable sales channels and generate revenue by establishing a close partnership with Paygate Co., Ltd. Seoul Gyeonggeumseok Co., Ltd. Seoul Gyeonggeumseok. As a manufacturer of construction and automotive parts, we produce high-quality products utilizing aluminum materials. Paygate stabilizes through transactions with Seoul Light Metal Co., Ltd.

Electronic Payment Service Terms

기준 시장분석

2025 Import/Export-Based Market Analysis

As of 2025, global aluminum production is approximately 69 million tons, with China (approx. 55%), India, Russia, Canada, and the UAE as major producers. Key consumption regions include China, the US, Europe, and Japan, and market growth is expected to continue driven by EV and eco-friendly industry expansion and increasing demand for lightweight materials. Exports: export volume 1,282,459 tons, export value approx. \$5.6 billion. Note: 48.8% of import volume is aluminum ingots. In 2025, Korea's aluminum export volume was 1,282,459 tons with an export value of approx. \$5.6 billion, with main exports being aluminum alloys, rolled products, and materials. The same year, import volume was 3,116,930 tons with an import value of approx. \$9.7 billion, with 48.8% of imports being aluminum ingots, an important share of Korea's aluminum market.

New Supply Source Development: Increased aluminum production in other countries can reduce dependence on Russian aluminum.

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Industry Analysis

- 3.1. Market Trend
- 3.2. New Business Analysis

U N I C O E N E R G Y G R O U P

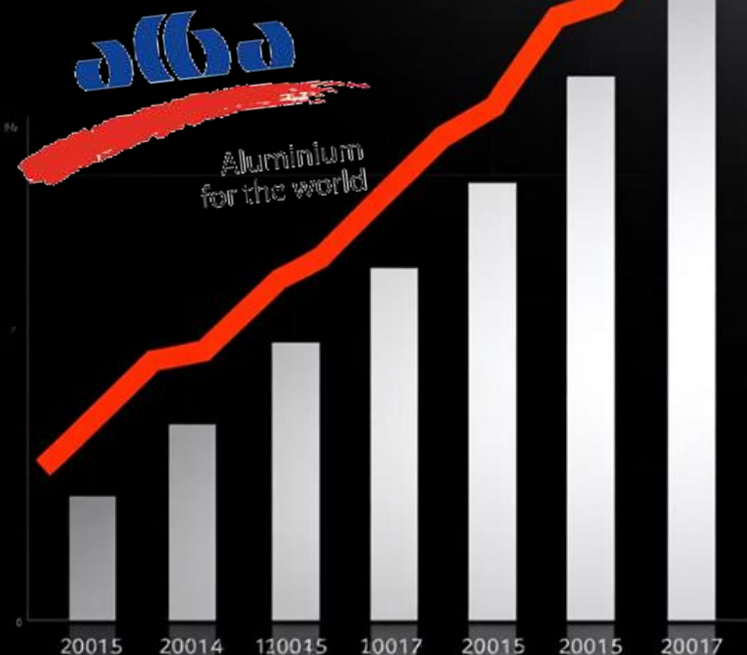
• III-1. Market Trend

The analysis of the relevant industry is as follows

Demand for ALUMINUM

Demand 10t demand aluminum for in 20.05
an arising demand to dil for aluminum demand

Aluminum daily demands 22, 201,000



2026 Key Prospective Supplier / ALBA

Supplier Basic Conditions

UAE, Dubai

1

The country supplying aluminum ingots for this business is UAE, Dubai. Dubai enhances the likelihood of business success by guaranteeing stable supply through a reliable supply chain, competitive pricing, and high-quality aluminum ingot production.

South Africa

2

The country of origin for the aluminum ingots is South Africa. South Africa has abundant aluminum mineral resources and production infrastructure, and stably produces high-quality aluminum ingots.

Payment Terms

CIF Incheon Port

1

Delivery terms are CIF Incheon Port, with transportation costs and insurance from Dubai to Incheon Port borne by the supplier. PayGate Co., Ltd. handles customs clearance at Incheon Port and delivers to domestic customers.

DLC + TT

2

Payment terms are DLC (Documentary Letter of Credit) + TT (MT103), ensuring safe and prompt settlement through a letter of credit. DLC guarantees payment through an import letter of credit, while TT enables prompt settlement through telegraphic transfer.

Profitability Analysis

Revenue & Cost Structure

The purchase price of aluminum ingots is 90% of the LME price, while the sale price is 100% of the LME price, securing a 10% margin on the LME price. Monthly revenue is projected at 5,000 tons × LME price, with monthly net profit at (10% of LME price) × 5,000 tons.

Expected Returns

Annual revenue is projected at 60,000 tons × LME price, with annual net profit at (10% of LME price) × 60,000 tons. Return on investment (ROI) is expected to be approximately 15-20%, presenting a positive outlook for stable profit generation and business growth.

• III-2 New Business Analysis_Oil Business

The analysis of the relevant industry is as follows

International Crude Price Trend - Oct 1 - Oct 9 Average price, Source: Petronet-

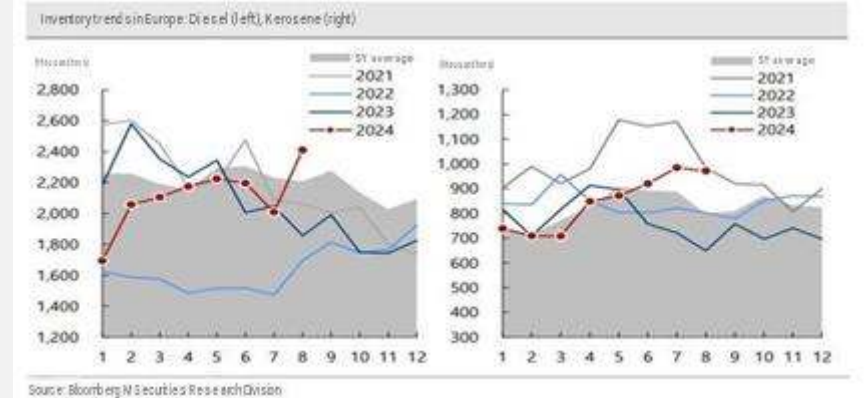
Oil Business Status and Outlook

International Crude Price Trend (Oct 1 - Oct 9)

Average price, Source: Petronet)

Brent Crude	\$76.83/bbl	(+\$2.68/bbl vs. prior week)
WTI (West Texas Intermediate)	\$73.14/bbl	(+\$3.14/bbl vs. prior week)
Dubai Crude	\$76.12/bbl	(+\$2.26/bbl vs. prior week)
Regular Gasoline	KRW 1,587.6/L	(-KRW 12.75/L vs. prior week)
Automotive Diesel	KRW 1,420.3/L	(-KRW 14.85/L vs. prior week)
Kerosene	KRW 1,315.8/L	(-KRW 7.33/L vs. prior week)

*Lagging effect: time-lag effect of raw material input



현황

Dubai crude price rose over 10% from its recent 3-month low of \$70.76 before turning into a downward trend

- Oil price fluctuations driven by various factors including Middle East geopolitical situation and US crude inventory levels
- Possibility that oil-producing nations will soon end production cuts

ns

Implications

- If Israel attacks Iran's energy facilities, a sharp spike in international oil prices is possible
- As oil prices fluctuate with Middle East geopolitics, refiners find it hard to count on the 'lagging effect'
- Continuous monitoring of international trends and a response strategy for price increases are needed

• III-2 New Business Analysis-Oil Business

The analysis of the affiliated industries is as follows:

Major Company Case Study: SK Energy

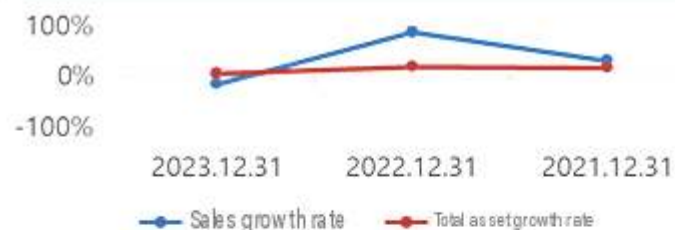
Major financial situation

(Unit: million won)

settlement date	Total assets	Total debt	Total capital	take	operating profit	net profit
2023.12.31	19,295,663	14,612,234	4,683,428	43,625,464	409,219	155,052
2022.12.31	18,049,320	12,605,796	5,443,523	50,332,344	2,600,785	1,465,699
2021.12.31	14,912,803	10,898,529	4,014,273	26,668,570	712,063	469,528

Key ratio time series analysis

growth/profitability



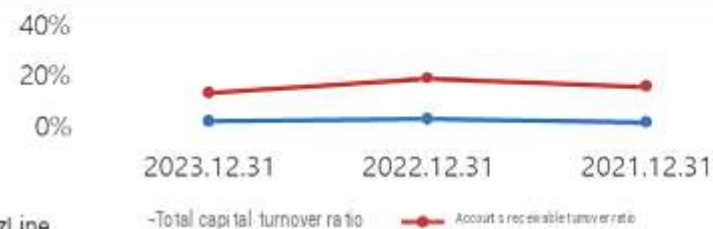
profitability



stability



activity



Source: BizLine

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Pro Forma Financial Statements

- 4.1 Key Assumptions
- 4.2 Revenue Estimation
- 4.3 Cost of Sales Estimation
- 4.4 Projected Income
- 4.5 Free Cash Flow (FCF)

U N I C O + E N E R G Y G R O U P

• IV-1. Key Assumptions

The key assumptions applied for estimating Free Cash Flow, and the main methods applied for estimating operating value under the DCF method, are as follows

■ Pro forma F.S.

*Lagging effect: time-lag effect of

Category	Key Assumption
Valuation Method	• Income valuation method using the DCF (Discounted Cash Flow) model
Valuation Date	• Valuation Date (May 31, 2026)
Projection Period	• 5 years from the valuation date (May 2026 - December 2028); for 2026, based on actual results tallied during the year, with mid-year cash flow assumed for each period
Perpetual Growth Rate	• 1% perpetual growth rate assumed after the projection period
Terminal Value	• Terminal cash flow for terminal value (going-concern value after the projection period) is calculated on an EBITDA - TAX basis (intended to prevent excessive terminal value estimation)
Key Operating Assumptions	• The Oil business assumes the contract volume and price of \$550*KRW1,300 is maintained and the 1-year contract extension option is not exercised • Aluminum and non-ferrous metals business assumed to start in 2027; real estate development business assumed to start November 2026
Non-Operating Assets	• Existing business's 2028 cost of sales ratio assumed at 8% • Long-term/short-term investment assets as of December 31, 2023
Tax	• The corporate tax rate applied to operating results is assumed at the target company's domestic effective tax rate of 22.0% (general industry, corporate tax rate including local income tax)
Scenarios	• Each scenario is calculated by adding it to the existing business

• (1) E x i s t i n g B u s i n e s s , (2) O i l B u s i n e s s , (3) A l u m i n u m & N o n -

UNICEF ENERGY GROUP

• IV-3. Revenue Estimation

The target company's projected cost of sales for approximately the next 5 years is as follows

■ Cost of Sales Estimation Details

(Unit:

	2026-12-31	2027-12-31	2028-12-31	2029-12-31	2030-12-31	2031-12-31
Cost of Sales	2,291,420,798	94,233,616,878	458,389,331,470	182,471,776,226	232,853,000,040	295,878,863,382
I. Aluminum	-	-	110,021,460,000	143,335,958,088	186,738,086,197	243,282,378,698
Cost of Sales Ratio	-	-	66.67%	66.67%	66.67%	66.67%
II. Non-Ferrous Metals	-	-	28,665,000,000	34,398,000,000	40,131,000,000	45,864,000,000
Cost of Sales Ratio	-	-	56.91%	56.91%	56.91%	56.91%
III. Existing Business	3,942,379,501	4,402,873,344	3,077,938,788	3,788,853,212	4,684,965,991	6,700,688,526
Cost of Sales Ratio	32%	21.20%	8%	7.78%	7%	8%
VI. Kakao Golf	-	43,000,000	258,000,000	258,000,000	258,000,000	258,000,000
Daeyeondong Shopping Center	-	22,000,000	132,000,000	132,000,000	132,000,000	132,000,000
Udong/Centum Shopping Center	-	21,000,000	126,000,000	126,000,000	126,000,000	126,000,000
Cost of Sales Ratio	-	13.27%	13.27%	13.27%	13.27%	13.27%
VII. Oil Intermediary Trade	-	91,260,000,000	315,900,000,000	-	-	-
Cost of Sales Ratio	-	98.18%	98.18%	-	-	-

• IV-4. Revenue and Cost of Sales Estimation by Scenario

The target company's projected revenue and cost of sales for approximately the next 5 years, by scenario, are as follows

■ Revenue Estimation Details

(Unit: MYR M)

	2026-12-31	2026-12-31	2028-12-31	2029-12-31	2030-12-31	2031-12-31
Revenue (Scenario 1+2+3+4)	12,184,233,457	114,043,369,560	575,678,823,509	326,088,804,963	417,821,902,759	531,215,774,621
Scenario 1+2 (Existing + Oil)	12,184,233,457	113,719,369,560	358,334,133,509	48,698,667,831	65,254,873,463	83,758,606,575
Scenario 1+3 (Existing + Aluminum)	12,184,233,457	20,769,369,560	251,984,823,509	324,144,804,963	415,877,902,759	529,271,774,621
Scenario 1+4 (Existing + Non-Ferrous Metals)	12,184,233,457	21,093,369,560	38,528,133,509	50,642,667,831	67,198,873,463	85,702,606,575

■ Cost of Sales Estimation Details

(Unit: MYR M)

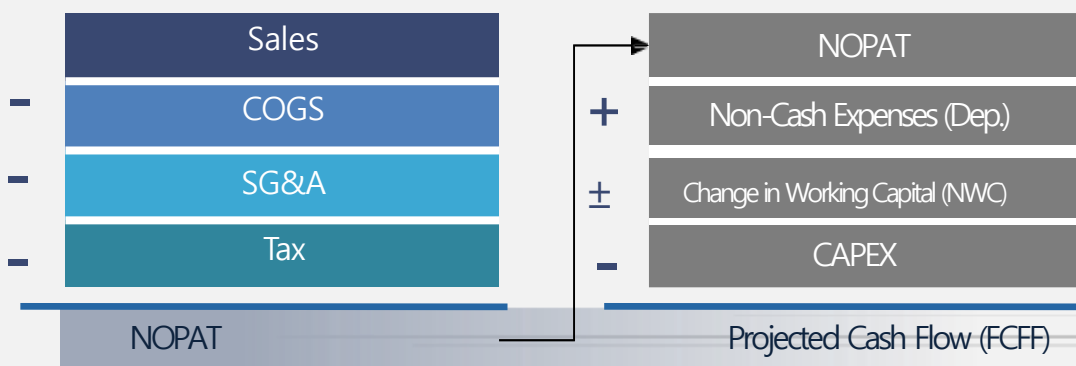
	2026-12-31	2027-12-31	2028-12-31	2029-12-31	2030-12-31	2031-12-31
Cost of Sales (Scenario 1+2+3+4)	3,942,379,501	95,705,873,344	457,922,398,788	181,780,811,300	231,812,052,188	296,105,067,224
Scenario 1+2 (Existing + Oil)	3,942,379,501	95,662,873,344	318,977,938,788	3,788,853,212	4,684,965,991	6,700,688,526
Scenario 1+3 (Existing + Aluminum)	3,942,379,501	4,402,873,344	141,764,398,788	181,522,811,300	231,554,052,188	295,847,067,224
Scenario 1+4 (Existing + Non-Ferrous Metals)	3,942,379,501	4,445,873,344	3,335,938,788	4,046,853,212	4,942,965,991	6,958,688,526
Cost of Sales Ratio						
Scenario 1+2	32.36%	84.12%	89.02%	7.78%	7.18%	8.00%
Scenario 1+3	32.36%	21.20%	56.26%	56.00%	55.68%	55.90%
Scenario 1+4	32.36%	21.08%	8.66%	7.99%	7.36%	8.12%

• IV-4. Free Cash Flow (FCF)

The target company's projected FCFF for approximately the next 5 years, by scenario, is as follows, and the resulting enterprise value is **estimated at KRW 270.7 billion**

■ Scenario 1+2 (Existing Business + Oil Business) FCFF (Projection)

	2026	2027	2028	2029	2030	2031	Terminal Value
	Actual	Projected	Projected	Projected	Projected	Projected	Projected
Sales	12,184,233,457	113,719,369,560	358,334,133,509	48,698,667,831	65,254,873,463	83,758,606,575	
Sales growth rate%	#DIV/0!	833.33%	215.10%	-86.41%	34.00%	28.36%	
COGS	3,942,379,501	95,662,873,344	318,977,938,788	3,788,853,212	4,684,965,991	6,700,688,526	
COGS%	32.36%	84.12%	89.02%	7.78%	7.18%	8.00%	
Gross Profit	8,241,853,956	18,056,496,217	39,356,194,721	44,909,814,619	60,569,907,472	77,057,918,049	
Gross margin%	67.64%	15.88%	10.98%	92.22%	92.82%	92.00%	
SG&A	10,767,432,116	11,959,173,815	14,857,581,809	16,599,530,777	19,958,506,588	23,193,852,729	
SG&A%	88.37%	10.52%	4.15%	34.09%	30.59%	27.69%	
EBIT	(2,525,578,160)	6,097,322,402	24,498,612,912	28,310,283,842	40,611,400,884	53,864,065,320	
Taxes on EBIT	244,912,688	1,341,410,928	5,389,694,841	6,228,262,445	8,934,508,195	11,850,094,370	
NOPLAT	(2,770,490,848)	4,755,911,474	19,108,918,071	22,082,021,397	31,676,892,690	42,013,970,949	
Free Cash Flow to Firm (FCFF)		4,755,911,474	19,108,918,071	22,082,021,397	31,676,892,690	42,013,970,949	42,434,110,659
Period (Year)		1.00	2.00	3.00	4.00	5.00	6.00
Present Value Factor		0.8918	0.7954	0.7093	0.6326	0.5642	0.5032
Net Present Value of Terminal Value		191,878,204,033					381,334,044,123



Equity Value	
NPV of Discrete Cash Flows	78,848,087,193
NPV of Terminal Value	191,878,204,033
(+) NOA (Non-Operating Assets)	2,499,613
Enterprise Value	270,728,790,839
(-) Interest Bearing Debt	6,502,956
Equity Value	270,722,287,883

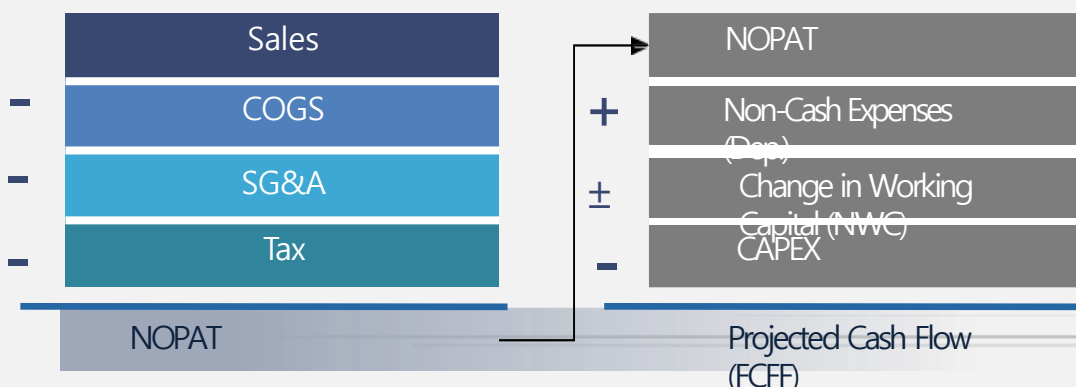
• IV-5. Free Cash Flow (FCF)

The target company's projected FCFF for approximately the next 5 years, by scenario, is as follows, and the resulting enterprise value is **estimated at KRW 469.5 billion**

■ Scenario 1+3 (Existing Business + Aluminum & Non-Ferrous Metals Business) FCFF (Projection)

(Unit:

	2026	2027	2028	2029	2030	2031	Terminal Value
	Actual	Projected	Projected	Projected	Projected	Projected	Projected
Sales	12,184,233,457	20,769,369,560	251,984,823,509	324,144,804,963	415,877,902,759	529,271,774,621	
Sales growth rate%	#DIV/0!	70.46%	1113.25%	28.64%	28.30%	27.27%	
COGS	3,942,379,501	4,402,873,344	141,764,398,788	181,522,811,300	231,554,052,188	295,847,067,224	
COGS%	32.36%	21.20%	56.26%	56.00%	55.68%	55.90%	
Gross Profit	8,241,853,956	16,366,496,217	110,220,424,721	142,621,993,663	184,323,850,571	233,424,707,398	
Gross margin%	67.64%	78.80%	43.74%	44.00%	44.32%	44.10%	
SG&A	10,767,432,116	11,959,173,815	47,167,685,309	57,916,451,347	72,551,960,982	90,020,827,936	
SG&A%	88.37%	57.58%	18.72%	17.87%	17.45%	17.01%	
EBIT	(2,525,578,160)	4,407,322,402	63,052,739,412	84,705,542,316	111,771,889,589	143,403,879,461	
Taxes on EBIT	244,912,688	969,610,928	13,871,602,671	18,635,219,310	24,589,815,710	31,548,853,482	
NOPLAT	(2,770,490,848)	3,437,711,474	49,181,136,741	66,070,323,007	87,182,073,879	111,855,025,980	
Free Cash Flow to Firm (FCFF)		3,437,711,474	49,181,136,741	66,070,323,007	87,182,073,879	111,855,025,980	112,973,576,240
Period (Year)		1.00	2.00	3.00	4.00	5.00	6.00
Present Value Factor		0.8579	0.7360	0.6314	0.5417	0.4648	0.3987
Net Present Value of Terminal Value		289,472,502,953					725,993,028,564



Equity Value	
NPV of Discrete Cash Flows	180,082,663,248
NPV of Terminal Value	289,472,502,953
(+) NOA (Non-Operating Assets)	2,499,613
Enterprise Value	469,557,665,814
(-) Interest Bearing Debt	6,502,956
Equity Value	469,551,162,858

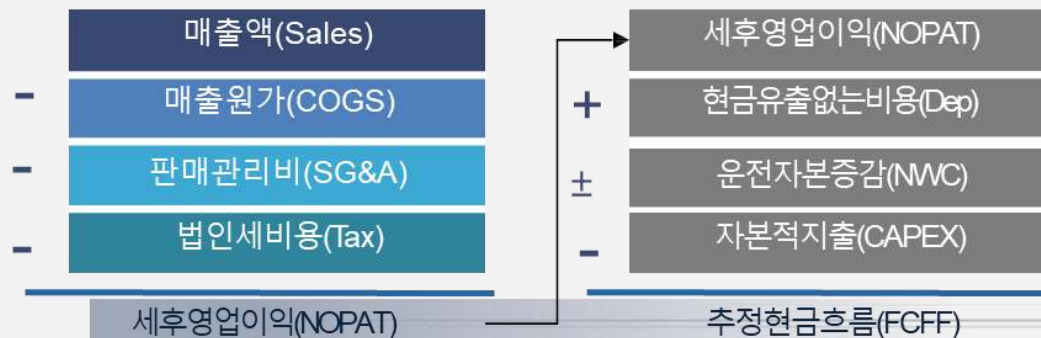
• IV-6. Free Cash Flow (FCF)

The target company's projected FCFF for approximately the next 5 years, by scenario, is as follows, and the resulting enterprise value is **estimated at KRW 138.6 billion**

■ Scenario 1+4 (Existing Business + Real Estate Development Business) FCFF (Projection)

(단위: 원)

	2026	2027	2028	2029	2030	2031	Terminal Value
	Actual	Projected	Projected	Projected	Projected	Projected	Projected
Sales(매출)	12,184,233,457	21,093,369,560	38,528,133,509	50,642,667,831	67,198,873,463	85,702,606,575	
Sales growth rate%	#DIV/0!	73.12%	82.66%	31.44%	32.69%	27.54%	
COGS(매출원가)	3,942,379,501	4,445,873,344	3,335,938,788	4,046,853,212	4,942,965,991	6,958,688,526	
COGS%	32.36%	21.08%	8.66%	7.99%	7.36%	8.12%	
Gross profit(매출총이익)	8,241,853,956	16,647,496,217	35,192,194,721	46,595,814,619	62,255,907,472	78,743,918,049	
Gross margin%	67.64%	78.92%	91.34%	92.01%	92.64%	91.88%	
SG&A(판관비)	10,767,432,116	12,208,366,648	16,352,738,809	18,094,687,777	21,453,663,588	24,689,009,729	
SG&A%	88.37%	57.88%	42.44%	35.73%	31.93%	28.81%	
EBIT(영업이익)	(2,525,578,160)	4,439,129,569	18,839,455,912	28,501,126,842	40,802,243,884	54,054,908,320	
Taxes on EBIT(법인세)	244,912,688	976,608,505	4,144,680,301	6,270,247,905	8,976,493,655	11,892,079,830	
NOPLAT(법인세 차감후순이익)	(2,770,490,848)	3,462,521,064	14,694,775,611	22,230,878,937	31,825,750,230	42,162,828,489	
Free Cash Flow to Firm (FCFF)		3,462,521,064	14,694,775,611	22,230,878,937	31,825,750,230	42,162,828,489	42,584,456,774
Period (Year)		1.00	2.00	3.00	4.00	5.00	6.00
Present Value Factor		0.8371	0.7008	0.5866	0.4911	0.4111	0.3442
Net Present Value of Terminal Value		79,409,956,820	-	-	-	-	230,737,575,387



Equity Value	
NPV of Discrete Cash Flows	59,201,658,126
NPV of Terminal Value	79,409,956,820
(+) NOA(비영업자산)	2,499,613
Enterprise Value	138,614,114,559
(-) Interest Bearing Debt	6,502,956
Equity Value(주식가치)	138,607,611,603

Discount Rate Estimation (WACC Estimation)

- 5.1 CAPM
- 5.2 WACC (Discount Rate) Estimation
- 5.3 Beta and WACC by Scenario

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U N I C O E N E R G Y G R O U P

• V-1.CAPM

Due to practical application complexity, the commonly used WACC (RR) based on CAPM is estimated as follows

1. Explanation of CAPM

The CAPM is a model for pricing an individual security or portfolio. For individual securities, we make use of the security market line (SML) and its relation to expected return and systematic risk (beta) to show how the market must price individual securities in relation to their security risk class. The SML enables us to calculate the reward-to-risk ratio for any security in relation to that of the overall market. Therefore, when the expected rate of return for any security is deflated by its beta coefficient, the reward-to-risk ratio for any individual security in the market is equal to the market reward-to-risk ratio, thus The market reward-to-risk ratio is effectively the market risk premium and by rearranging the above equation and solving for the expected return on the capital asset.

2. Assumptions of CAPM

All investors

1. Aim to maximize economic utilities
2. Are rational and risk-averse.
3. Are broadly diversified across a range of investments.
4. Are price takers, i.e., they cannot influence prices.
5. Can lend and borrow unlimited amounts under the risk free
6. Trade without transaction or taxation costs.
7. Deal with securities that are all highly divisible into small
8. Have homogeneous expectations.
9. Assume all information is available at the same time to all

The discount rate is the weighted average of the returns required by debt and equity investors, weighted by their respective investment proportions. The WACC calculation applied in this report is as follows (an additional premium is required in the existing formula considering the target company's specific characteristics)

$$WACC = K_d * (1-t) * (\text{Percent Debt}) + K_e * (\text{Percent Equity}) + SSP(*) + LRP(**)$$

K_d = Pre-tax cost of debt, K_e = cost of equity t = Effective tax rate

(*) Small Size Premium is an additional risk premium related to the estimated market capitalization of the company. (3% applied)

(**) Liquidity Risk Premium is a premium demanded by investors when any given security cannot be easily converted into cash for its fair market value

Target Capital Structure (D/E) and Applied Beta - uses the Market-based target capital structure calculated through analysis of comparable companies' capital structures

Cost of Debt (K_d)

The cost of debt used to calculate WACC refers to the borrowing interest rate expected if the company's borrowings as of the valuation date were refinanced. The Interest-tax shield is reflected in this pre-tax cost of debt

$$\text{After-tax cost of debt} = K_d * (1-t)$$

Equity (K_e)

Cost of equity is estimated using the CAPM (Capital Asset Pricing Model)

$$K_e = R_f + \text{Beta} * (R_m - R_f)$$

Beta = Systematic risk for the guideline company's equity

measured against local stock market index

$R_m - R_f$ (ERP) = The equity market's return premium over the risk free return

• V-2. Beta (Peer Group)_Oil Industry

Due to practical application complexity, the commonly used WACC (RR) based on CAPM is estimated as follows



SK Innovation	Market Cap	11.37T	EPS	-327.76	ROA	-
	Revenue	77.07T	Dividend	N/A	Gross Profit Margin	6.9%
	P/E Ratio	-337.75	Beta	1.63	Price-to-Book Ratio	0.50
S-Oil	Market Cap	7.28T	EPS	7,038.32	ROA	4.1%
	Revenue	37.71T	Dividend	1,625.00 (2.57%)	Gross Profit Margin	5.9%
	P/E Ratio	8.87	Beta	0.854	Price-to-Book Ratio	0.81
ExxonMobil	Market Cap	543.14B	EPS	8.35	ROA	8.6%
	Revenue	345.14B	Dividend	3.80 (3.11%)	Gross Profit Margin	31.6%
	P/E Ratio	14.65	Beta	0.893	Price-to-Book Ratio	2.02
Source: investing.com						

• V-2. Beta by Scenario (Peer Group)_Oil Industry

After confirming Beta and financial information (FA) of listed companies similar to the target company (in region/business/scale), the Beta proxy value to be applied to the target company was estimated and applied

BETA (Peer Group)

Guideline Public Company	Market Cap	Revenue	P/E Ratio	EPS	Unlevered Beta
SK Innovation	11.37T	77.07T	-337.75	-327.76	0.349
S-Oil	7.28T	37.71T	8.87	7,038.32	0.447
ExxonMobil	543.14B	345.14B	14.65	8.35	0.532
Total (Weighted Av.)					0.4430

Notes:

- Selected a peer group of listed companies in similar businesses to the target company (considering actual business operations and other financial (scale)/geographic factors when selecting the peer group)
- Market capitalization as of valuation date used
- Interest-bearing debt as of valuation date applied (Hamada Model: $\text{Unlevered Beta} = \text{Levered Beta} / [1 + (1 - \text{Tax Rate}) \times (D/E)]$)
- Unlevered Beta estimated using Observed Beta (Source: Bloomberg)

• V-2. WACC (Discount Rate) Estimation_Oil Industry

The discount rate was estimated using CAPM as follows, yielding 10.14%

Cost of Equity (K_E)

Risk Free Rate ⁽¹⁾		+	Beta	x	Equity Risk Premium ⁽¹⁾	+	Country Risk Premium	+	Size Premium	+	Specific Premium	=	Cost of Equity	
2.88%			0.443		17.22%		0.0%		0.0%		0.00%		10.51%	
After-Tax Cost of Debt (K _D)									<u>Weighted Average Cost of Capital</u>					
Pre-Tax Cost of Debt (3)		x	(1 - Tax Rate) (4)		=	After-Tax Cost of Debt			Capital Structure ⁽⁵⁾		x	Cost of Capital	=	Contribution
6.23%			22.00%			4.86%			6.50%			4.86%		0.32%
									93.50%			10.51%		9.83%
												WACC	=	10.14%

Notes:

- (1) R_f (Source: 30-year government bond yield), CRP (Source: Bloomberg)
- (2) Interest rate reflecting credit rating (Source: NICE P&I corporate bond BBB0 (3-year) YTM applied)
- (3) Effective tax rate assumption (domestic effective tax rate of 22.0% assumed, considering effective marginal tax bracket and local income tax)
- (4) Target capital structure applies the (weighted) average capital structure of comparable peer companies

• V-2. Beta and WACC by Scenario_ALBA Aluminum

The discount rate was estimated using CAPM as follows, yielding 20.03%

Aluminium Bahrain B.S.C., abbreviated ALBA

Guideline Public Company	Market Cap	Revenue	P/E Ratio	EPS	Unlevered Beta
BYD Co Ltd Class A	738.09B	643.32B	22.99	11.24	1.054
Zhengzhou Yutong Bus	49.86B	32.26B	16.87	1.37	0.9
EM Korea	94.04B	107.78B	-45.46	-44.36	0.401
GS Global	345.65B	3.82T	8.33	503.02	0.428
Total (Weighted Av.)					0.6960

Notes:

- Selected a peer group of listed companies in similar businesses to the target company (considering actual business operations and other financial (scale)/geographic factors when selecting the peer group)
- Market capitalization as of valuation date used
- Interest-bearing debt as of valuation date applied (Hamada Model: $\text{Unlevered Beta} = \text{Levered Beta} / [1 + (1 - \text{Tax Rate}) \times (D/E)]$)
- Unlevered Beta estimated using Observed Beta (Source: Bloomberg)

• V-2. WACC (Discount Rate) Estimation

The discount rate was estimated using CAPM as follows, yielding 20.03%

Cost of Equity (K_E)

Risk Free Rate ⁽¹⁾		+	Beta	x	Equity Risk Premium ⁽¹⁾	+	Country Risk Premium	+	Size Premium	+	Specific Premium	=	Cost of Equity	
2.88%			1.057		17.22%		0.0%		0.0%		0.00%		21.09%	
After-Tax Cost of Debt (K _D)									<u>Weighted Average Cost of Capital</u>					
Pre-Tax Cost of Debt (3)		x	(1 - Tax Rate) (4)		=	After-Tax Cost of Debt			Capital Structure ⁽⁵⁾		x	Cost of Capital	=	Contribution
6.23%			22.00%			4.86%			6.50%			4.86%		0.32%
									93.50%			21.09%		19.72%
												WACC	=	20.03%

Notes:

- (1) R_f (Source: 30-year government bond yield), CRP (Source: Bloomberg)
- (2) Interest rate reflecting credit rating (Source: NICE P&I corporate bond BBB0 (3-year) YTM applied)
- (3) Effective tax rate assumption (domestic effective tax rate of 22.0% assumed, considering effective marginal tax bracket and local income tax)
- (4) Target capital structure applies the (weighted) average capital structure of comparable peer companies

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The discount rate was estimated using CAPM as follows, yielding 20.03%

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Risk Free Rate ⁽¹⁾		+	Beta	x	Equity Risk Premium ⁽¹⁾	+	Country Risk Premium	+	Size Premium	+	Specific Premium	=	Cost of Equity	
2.88%			1.057		17.22%		0.0%		0.0%		0.00%		21.09%	
After-Tax Cost of Debt (K _D)									<u>Weighted Average Cost of Capital</u>					
Pre-Tax Cost of Debt (3)		x	(1 - Tax Rate) (4)		=	After-Tax Cost of Debt			Capital Structure ⁽⁵⁾		x	Cost of Capital	=	Contribution
6.23%			22.00%			4.86%			6.50%			4.86%		0.32%
									93.50%			21.09%		19.72%
												WACC	=	20.03%

Notes:

- (1) R_f (Source: 30-year government bond yield), CRP (Source: Bloomberg)
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• V-2. WACC (Discount Rate) Estimation

The discount rate was estimated using CAPM as follows, yielding 20.03%

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Risk Free Rate ⁽¹⁾		+	Beta	x	Equity Risk Premium ⁽¹⁾	+	Country Risk Premium	+	Size Premium	+	Specific Premium	=	Cost of Equity	
2.88%			1.057		17.22%		0.0%		0.0%		0.00%		21.09%	
After-Tax Cost of Debt (K _D)									<u>Weighted Average Cost of Capital</u>					
Pre-Tax Cost of Debt (3)		x	(1 - Tax Rate) (4)		=	After-Tax Cost of Debt			Capital Structure ⁽⁵⁾		x	Cost of Capital	=	Contribution
6.23%			22.00%			4.86%			6.50%			4.86%		0.32%
									93.50%			21.09%		19.72%
												WACC	=	20.03%

Notes:

- (1) R_f (Source: 30-year government bond yield), CRP (Source: Bloomberg)
- (2) Interest rate reflecting credit rating (Source: NICE P&I corporate bond BBB0 (3-year) YTM applied)
- (3) Effective tax rate assumption (domestic effective tax rate of 22.0% assumed, considering effective marginal tax bracket and local income tax)
- (4) Target capital structure applies the (weighted) average capital structure of comparable peer companies

• V-2. WACC (Discount Rate) Estimation_Non-Ferrous Metals

After confirming Beta and financial information (FA) of listed companies similar to the target company (in region/business/scale), the Beta proxy value to be applied to the target company was estimated and applied

BETA (Peer Group)

Guideline Public Company	Market Cap	Revenue	P/E Ratio	EPS	Unlevered Beta
VinFastAuto	8.56B	34T	-3.60	-27,099.15	1.985
Yadea Group Holdings Ltd	35.83B	32.14B	12.78	0.83	0.966
Total (Weighted Av.)					1.4760

Notes:

- Selected a peer group of listed companies in similar businesses to the target company (considering actual business operations and other financial (scale)/geographic factors when selecting the peer group)
- Market capitalization as of valuation date used
- Interest-bearing debt as of valuation date applied (Hamada Model: $\text{Unlevered Beta} = \text{Levered Beta} / [1 + (1 - \text{Tax Rate}) \times (D/E)]$)
- Unlevered Beta estimated using Observed Beta (Source: Bloomberg)

• V-2. WACC (Discount Rate) Estimation_Non-Ferrous Metals

The discount rate was estimated using CAPM as follows, yielding 26.78%

Cost of Equity (K_E)

Risk Free Rate ⁽¹⁾		+	Beta		x	Equity Risk Premium ⁽¹⁾		+	Country Risk Premium		+	Size Premium		+	Specific Premium		=	Cost of Equity	
2.88%			1.476			17.22%			0.0%			0.0%			0.00%			28.30%	
After-Tax Cost of Debt (K _D)										<u>Weighted Average Cost of Capital</u>									
Pre-Tax Cost of Debt (3)		x	(1 - Tax Rate) (4)		=	After-Tax Cost of Debt					Capital Structure ⁽⁵⁾		x	Cost of Capital		=	Contribution		
6.23%			22.00%			4.86%					6.50%			4.86%			0.32%		
											93.50%			28.30%			26.46%		
														WACC		=	26.78%		

Notes:

- (1) R_f (Source: 30-year government bond yield), CRP (Source: Bloomberg)
- (2) Interest rate reflecting credit rating (Source: NICE P&I corporate bond BBB0 (3-year) YTM applied)
- (3) Effective tax rate assumption (domestic effective tax rate of 22.0% assumed, considering effective marginal tax bracket and local income tax)
- (4) Target capital structure applies the (weighted) average capital structure of comparable peer companies

• V-2. WACC (Discount Rate) Estimation_Non-Ferrous Metals

The discount rate was estimated using CAPM as follows, yielding 26.78%

Cost of Equity (K_E)

Risk Free Rate ⁽¹⁾		+	Beta		x	Equity Risk Premium ⁽¹⁾		+	Country Risk Premium		+	Size Premium		+	Specific Premium		=	Cost of Equity			
2.88%			1.476			17.22%			0.0%			0.0%			0.00%			28.30%			
After-Tax Cost of Debt (K _D)												<u>Weighted Average Cost of Capital</u>									
Pre-Tax Cost of Debt (3)		x	(1 - Tax Rate) (4)		=	After-Tax Cost of Debt						Capital Structure ⁽⁵⁾		x	Cost of Capital		=	Contribution			
6.23%			22.00%			4.86%						6.50%			4.86%			0.32%			
												93.50%			28.30%						
															WACC		=	26.78%			

Notes:

- (1) R_f (Source: 30-year government bond yield), CRP (Source: Bloomberg)
- (2) Interest rate reflecting credit rating (Source: NICE P&I corporate bond BBB0 (3-year) YTM applied)
- (3) Effective tax rate assumption (domestic effective tax rate of 22.0% assumed, considering effective marginal tax bracket and local income tax)
- (4) Target capital structure applies the (weighted) average capital structure of comparable peer companies

• V-3. Corporate Discount Rate Estimation by Scenario

The discount rate obtained using CAPM as follows was applied to determine the corporate discount rate, weighted by each scenario business's estimated revenue (PV) ratio

Scenario 1+2	WACC (Business)	Estimated Revenue	Ratio	WACC (Corporate)
Existing Business	20.03%	87,948,822,430	20%	4.03%
Oil Business	10.14%	349,626,112,649	80%	8.10%
		437,574,935,079	100%	12.13%

Scenario 1+3	WACC (Business)	Estimated Revenue	Ratio	WACC (Corporate)
Existing Business	20.03%	87,948,822,430	11%	2.14%
Aluminum	14.22%	623,066,245,060	76%	10.75%
Non-Ferrous Metals	26.78%	112,898,327,971	14%	3.67%
		823,913,395,461	100%	16.56%

Scenario 1+4	WACC (Business)	Estimated Revenue	Ratio	WACC (Corporate)
Existing Business	20.03%	87,948,822,430	94%	18.80%
Real Estate Development	10.71%	5,774,264,877	6%	0.66%
		93,723,087,307	100%	19.46%

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Appendix

- 6.1. Business Plans by Industry Sector (Attachment)
- 6.2 Advisory Service Agreement (to be executed later)